

Japan Daily Brief

Wednesday, October 7, 2026

1,871 words · 7 min read

RE: Okinawa curfew · BOJ inflation signal · TOPIX revamp · Nobel chemistry · DPRK hypersonic · Takaichi tax defense

NIKKEI 225

70,035.71

▲ +1.56%

USD/JPY

158.32

▲ +0.48%

BRENT

\$101.94

▼ -0.30%

BOJ RATE

1.25%

• TOP STORIES

ALLIANCE

U.S. forces in Okinawa face curfew and alcohol ban after Marine murder arrest

U.S. military commanders in Okinawa imposed a midnight-to-5 AM curfew and a temporary alcohol ban on all personnel following the arrest of a U.S. Marine suspected of murder, after a two-day operational pause. PM Takaichi met Okinawa Governor **Genta Koja** on Wednesday and pledged Japan would pursue preventive steps with the United States; Koja separately urged Defense Minister Koizumi to take 'effective and fundamental' measures.

REUTERS

TECHNOLOGY

Japanese scientist Kenso Soai and France's Henri B. Kagan win Nobel Prize in chemistry

Kenso Soai of Japan and **Henri B. Kagan** of France were awarded the 2026 Nobel Prize in Chemistry 'for the discovery of non-linear effects and autocatalysis in asymmetric organic synthesis.' Soai's work on asymmetric autocatalysis — reactions in which a product accelerates its own synthesis — has been recognized as a foundational contribution to understanding chemical chirality.

THE JAPAN TIMES

CHINA-JAPAN

Xi leaves Japan uncertain on China summit at APEC

Beijing has not confirmed whether President Xi Jinping will hold a bilateral summit with PM Takaichi on the APEC sidelines, leaving Tokyo uncertain ahead of the meeting. Separately, the Japan Times reported that former Foreign Minister **Takeshi Iwaya** and Chinese Foreign Minister Wang Yi confirmed the need to improve relations, with Wang suggesting Takaichi should resolve her Taiwan-related remarks — a precondition Beijing has inserted into normalization diplomacy.

NIKKEI ASIA

ECONOMY-BOJ

Topix's largest-ever overhaul to cull hundreds of Japan stocks

Japan Exchange Group announced *683 companies* are earmarked for removal from the TOPIX index under tightened inclusion standards, reducing the benchmark from roughly 1,600 constituents to below 1,000 — a cut of approximately 40 percent. The Financial Times described the move as the benchmark being left with under 1,000 constituents, with implications for passive funds that track the index.

THE JAPAN TIMES

TECHNOLOGY

Japan's \$15 billion Rapidus chip bet hinges on winning customers

Reuters examined the critical juncture facing Rapidus, Japan's state-backed *\$15 billion* 2nm foundry project in Hokkaido, as it moves from government-funded construction toward the commercial phase that requires securing anchor customers. Without committed clients, the viability of the fab — central to Japan's semiconductor sovereignty strategy — remains in question.

REUTERS

• STAT OF THE DAY

683

Companies earmarked for removal in TOPIX's largest-ever revamp

Japan Exchange Group will cut TOPIX constituents from roughly 1,600 to below 1,000 — a reduction of approximately 40 percent — under tightened inclusion rules.

Topix's largest-ever overhaul to cull hundreds of Japan stocks — Japan Times

• JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · WEDNESDAY, OCTOBER 7, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi met Okinawa Governor Koja at the Kantei, pledged preventive steps with the United States over the Marine murder case, and separately defended her consumption tax cut plan in the extraordinary Diet session.

官邸 · PRIME MINISTER'S OFFICE / KANTEI · *Prime Minister Sanae Takaichi*

Takaichi meets Okinawa Governor Koja, pledges preventive steps with U.S. after Marine murder

Prime Minister **Sanae Takaichi** told Okinawa Governor **Genta Koja** on Wednesday that Japan intends to pursue preventive measures with the United States following the arrest of a U.S. Marine in connection with a murder case. The meeting followed a two-day operational pause by U.S. forces in Okinawa and preceded the imposition of a 30-day curfew on U.S. personnel.

→ Mainichi ↗

官邸 · PRIME MINISTER'S OFFICE / KANTEI · *Prime Minister Sanae Takaichi*

Takaichi defends consumption tax cut paired with income-based cash payments

Takaichi defended her plan to combine a consumption tax cut with income-graduated direct cash payments, explaining that designing an income-tested disbursement system requires more time than distributing uniform amounts. The remarks came as political scrutiny of the fiscal mechanics intensified in the extraordinary Diet session.

→ [The Japan Times](#) ↗

防衛省 · MINISTRY OF DEFENSE · *Defense Minister Shinjiro Koizumi*

Koizumi formally requests U.S. consultations in wake of Okinawa murder case

Defense Minister **Shinjiro Koizumi** sought urgent bilateral talks with U.S. counterparts after a U.S. Marine was arrested in connection with a murder in Okinawa. Okinawa Governor Kojima separately urged Koizumi to take 'effective and fundamental' preventive measures.

→ [NHK](#) ↗

日本銀行 · BANK OF JAPAN · *Policy Board member Ayano Sato*

BOJ's Sato backs gradual rate hikes despite voting against September increase

BOJ Policy Board member **Ayano Sato** stated she supports gradually raising the policy interest rate, even though she dissented from the September rate increase. Her remarks reinforce a board-wide directional consensus toward further tightening despite differing views on timing.

→ [Mainichi](#) ↗

DIET SESSIONS / LDP

EXTRAORDINARY DIET SESSION

Takaichi lays out 'proactive fiscal policy' and consumption tax cut plan at Diet opening

Prime Minister Takaichi addressed the extraordinary Diet session with a policy speech pledging a consumption tax cut without new bond issuance, a growth plan to be unveiled by year-end, curbs on land sales near sensitive sites, and a firm posture toward China. She described population decline as a 'quiet national crisis.'

CABINET / AGRICULTURE MINISTRY

Agriculture Minister retracts budget remarks and apologizes amid controversy

Agriculture Minister Yano retracted controversial remarks concerning budget allocations and issued an apology. The incident, which drew multiple Asahi Shimbun reports and Diet-floor commentary, prompted PM Takaichi to state that bringing political disfavor into budget decisions is 'naturally' unacceptable.

• PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
JNN · Oct 4, 2026	63%	33.9%
Asahi · Sep 28, 2026	51%	33%
ANN · Sep 23, 2026	58.3%	27.6%
Kyodo · Sep 23, 2026	53.4%	30.9%

Nikkei · Sep 5, 2026 · 32d ago

62%

33%

Yomiuri · Sep 19, 2026

59%

30%

FNN · Sep 15, 2026 · 22d ago

61.6%

32.2%

NHK · Sep 10, 2026 · 27d ago

52.8%

30.8%

Discourse: Agriculture Minister's retracted budget remarks and reports of improper supporter transport triggered sustained Diet and media scrutiny, with PM Takaichi publicly distancing herself by stating political disfavor must not influence budget decisions.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

• BUSINESS & ECONOMY

MACRO · REUTERS

Japan's real wages rise for eighth straight month in August

Real cash earnings adjusted for inflation rose 1.5% year-on-year in August, the labor ministry reported — the eighth consecutive monthly gain, aided by PM Takaichi's consumer relief measures including energy subsidies. August wage data came in above expectations and real wages remained in positive territory, posing no obstacle to further BOJ tightening per FT analysis.

MANUFACTURING · THE JAPAN TIMES

Japan antitrust watchdog raids four major brewers over suspected beer price cartel

Japan's Fair Trade Commission raided four major domestic brewers on October 7 over suspected cartel activity in retail beer pricing, in a market worth more than ¥1 trillion annually. Shares of the targeted companies fell following the raids, per Reuters and Bloomberg.

TECH · NIKKEI ASIA · AIRTRUNK, MITSUI FUDOSAN

Australia's AirTrunk to triple Japan data center investment to up to \$30 billion

AirTrunk, Australia's largest data center operator, plans to triple its Japan investment to up to \$30 billion, reflecting surging demand for AI compute infrastructure. The expansion enters a crowded field that also includes Mitsui Fudosan, which announced plans to build a data center inside an abandoned tunnel in Japan.

SEMICONDUCTORS · NIKKEI ASIA · TOKYO ELECTRON

Tokyo Electron CFO says company poised for record profit on AI momentum

Tokyo Electron's CFO indicated the chipmaking equipment maker is on track for a record profit driven by AI-related demand for semiconductor manufacturing tools. The outlook underscores Japan's growing position in the upstream chip-equipment supply chain as Rapidus and TSMC Kumamoto ramp.

FINANCE · THE JAPAN TIMES

IMF chief voices concern over Japan's 10-year JGB yield at highest in ~30 years

IMF Managing Director Kristalina Georgieva expressed concern that the 10-year Japanese government bond yield has reached its highest level in approximately 30 years, flagging risks from elevated long-term rates in both Japan and the United States. The JGB 10-year yield stood at 1.50% as of October 7.

REGIONAL PRESSURE WATCH

Normal — 24 items (BOJ: 15, DPRK: 7, Chief Cabinet Sec: 2)

CHINA

Beijing has left Tokyo uncertain whether Xi Jinping will hold a bilateral summit with Takaichi at APEC, amid unresolved demands that Takaichi resolve her Taiwan-related remarks — a precondition China's Foreign Minister

Wang Yi raised directly with former Foreign Minister Iwaya. China's coordinated protocol campaign (dropping Takaichi's title, denying the APEC bilateral) continues as the dominant pressure vector.

NORTH KOREA

North Korea's recent hypersonic intermediate-range missile test continues to generate analytical coverage: NK News reported satellite imagery shows an upgraded coastal missile launch site was prepared ahead of the recent test series, while analysts examined how the missile's claimed AI-guided evasive flight profile could complicate adversary interception — directly relevant to Japan's missile defense architecture. Seoul challenged Pyongyang's claimed *621-mile* flight range.

Senkaku / ECS: No new China Coast Guard intrusions or PLA activity near the Senkakus reported in today's articles; the tracker carries no fresh Senkaku-specific data for October 7.

"effective and fundamental"

Okinawa Governor Genta Koja (demand to Defense Minister Koizumi) · Okinawa gov. calls for preventive steps after US serviceman murder case

Bottom line: North Korea's upgraded coastal launch infrastructure and the analytic debate over its hypersonic missile's intercept-evasion profile are the primary adversary-capability signal today; Beijing's APEC bilateral ambiguity remains the leading diplomatic pressure point on Tokyo.

• U.S.-JAPAN RELATIONS

BASING · WASHINGTON POST

Okinawa governor demands discipline for U.S. military after Marine murder

Okinawa Governor **Genta Koja** called for disciplinary measures against U.S. military personnel after a Marine's arrest in connection with a murder, as U.S. forces imposed a midnight-to-5 AM curfew and alcohol ban. The case has reignited Okinawa's long-standing demands for a reduction of the U.S. military footprint on the island.

BASING · AFP

Japanese protesters demand removal of U.S. bases after Marine held for murder

Protests erupted near U.S. bases in Okinawa following the Marine's arrest, with demonstrators demanding the removal of American military facilities. The incident revives the cycle of Okinawan base-opposition politics that has periodically strained USFJ's political sustainability since the 1995 assault case.

• INDO-PACIFIC PARTNERS

KOREA-JAPAN · NIKKEI ASIA

Coordinated cyberattacks sweep Japanese and South Korean businesses, putting millions at risk

A wave of cyberattacks has hit businesses across Japan and South Korea simultaneously, with authorities in both countries investigating breaches that put millions of customers at risk of identity theft.

SOUTHEAST ASIA · NIKKEI ASIA

Japan faces language-teaching gap as new immigration scheme approaches

Japan's capacity to teach Japanese language to incoming foreign workers falls well short of demand as a new immigration framework takes effect, raising integration challenges across ASEAN-source labor communities.

AUSTRALIA · THE JAPAN TIMES

Australia's largest pension fund eyes Japan and India for private equity expansion

AustralianSuper is targeting Japan and India for private equity investment growth, with Asia currently accounting for about 10% of its total private equity portfolio.

• UPCOMING

Oct
26

Bangladesh chief adviser Tarique Rahman due in Tokyo

Tarique Rahman is scheduled to visit Japan on October 26, coinciding with the eve of Bangladesh's LDC graduation — a visit framed as advancing economic relations with Tokyo.

Oct
31

BOJ Monetary Policy Meeting (estimated)

The BOJ's next policy meeting is expected in late October. Reuters-cited sources indicate the October outlook report may declare underlying inflation has reached the 2% target, increasing scrutiny of any rate-path signal. Verify exact date from BOJ calendar.

Nov
1

TOPIX revamp implementation begins

Japan Exchange Group's largest-ever TOPIX restructuring — culling roughly 683 companies and reducing constituents from ~1,600 to below 1,000 — is set to proceed following the October 7 announcement. Exact implementation schedule to be confirmed by JPX.

Nov
15

APEC Summit — Xi-Takaichi bilateral uncertain

Japan is pushing for a Takaichi-Xi bilateral on the sidelines of the APEC Summit, but Nikkei Asia reports Beijing has left Tokyo uncertain whether the meeting will occur, partly over unresolved Taiwan-remark tensions.

Dec
1

Japan government growth plan deadline

Prime Minister Takaichi pledged in her extraordinary Diet policy speech to unveil a comprehensive growth plan by year-end; December is the implicit deadline for this framework, which includes the five-year growth investment plan.

CSIS Japan Chair

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